

Fearnleys Tanker Market Wrap-up Oct 2025

Oct 31, 2025

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Rarely a dull moment

Summary and outlook

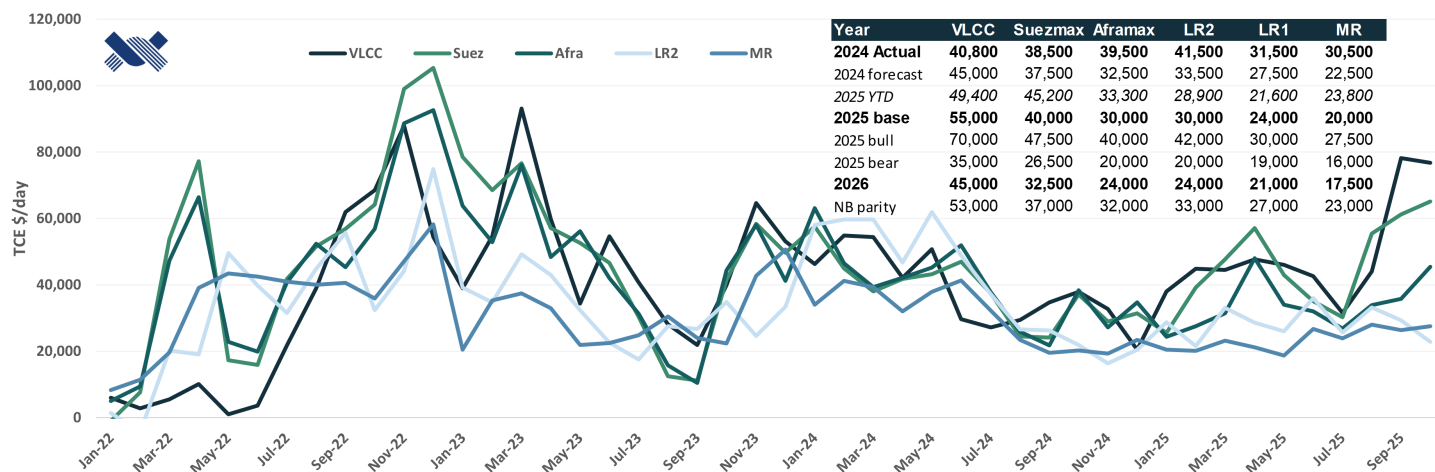
Over the last month there have been quite a few events including U.S. sanctions on tankers and Chinese oil infrastructure companies, China's Special Port Fees in response to the USTR 301, the EU's 19th Russia sanctions package, U.S. sanctions on Rosneft and Lukoil, and now a U.S.-China trade truce. And then there are typhoons and hurricanes. It seems every time oil pricing and tankers rates start to take a breather, some event happens to boost sentiment. In an already tight underlying market that can produce very high rates.

This stands in stark contrast to the first half of the year, when the fundamentals were not that much weaker than now, yet there is a big difference for rates. More volatility is expected through the remainder of the year, with a rate trajectory more in line with our bull case - for which most factors have played out.

This also likely means a firmer trajectory into next year than earlier expected in our base case, which possibly means some upside risks for next year's forecasts due to a strong Q1. During the remainder of the year, however, with fleet growth picking up and demand growth slowing, we expect limited changes to our outlook. Similarly, the trajectory into 2027 also looks somewhat softer - although not as much as in previous market downturns.

In the longer term more investment in fleet renewal will be needed. For now, most phase-out candidates have found employment in the shadow market, and are thus already phased out of normal trade. The next 'wave' of compliant phase-out may come in 2028-30 when more compliant vessels come up toward historical phase-out ages.

Rates and forecast

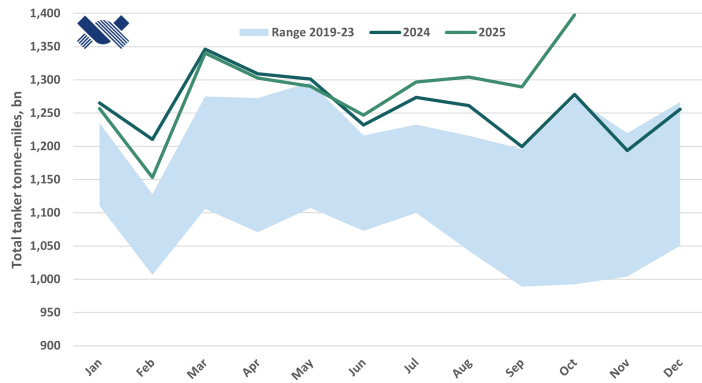


Source: Fearnleys, Baltic Exchange

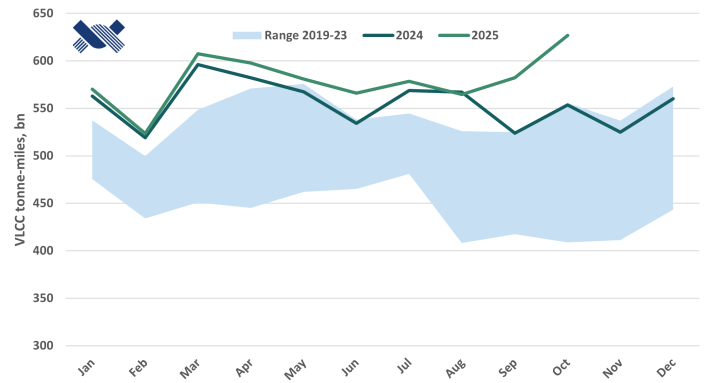
After September's Atlantic fixing rush preliminary October tonne-miles have soared, especially for crude tankers. This is driven by higher production both in the Americas and from the OPEC+ and by the big supply push West-East in September amid a wide open arbitrage. Since then, however, the West-East arb. has eased, apart from the most recent Russia sanctions induced (short-term) spike.

Americas exports typically ease somewhat in Q4 due to higher local demand and some production maintenance in Brazil - partly offset by rising MEG production. Hence, tonne-mile demand may soften slightly from the recent peak. Still, global volumes remain high, as should tanker demand be through the remainder of the year and into next year.

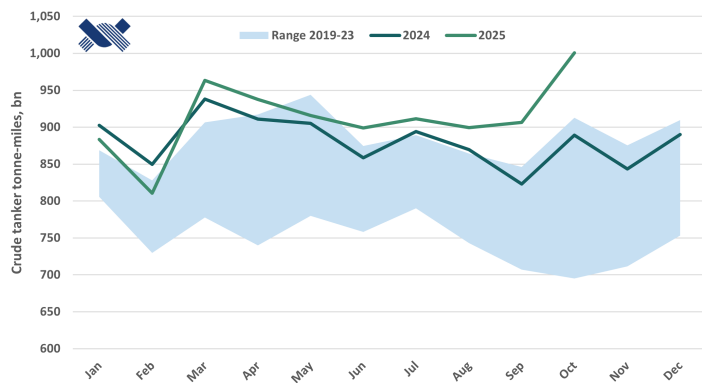
Compliant tonne miles, total (1.6% YTD)



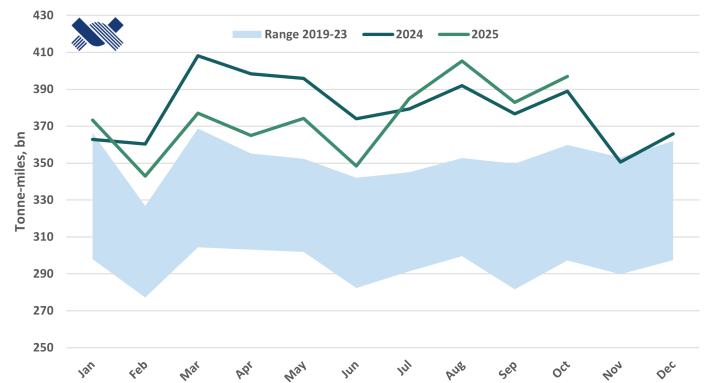
Compliant tonne miles, VLCC (4% YTD)



Compliant tonne miles, crude/condensates (3.2% YTD)



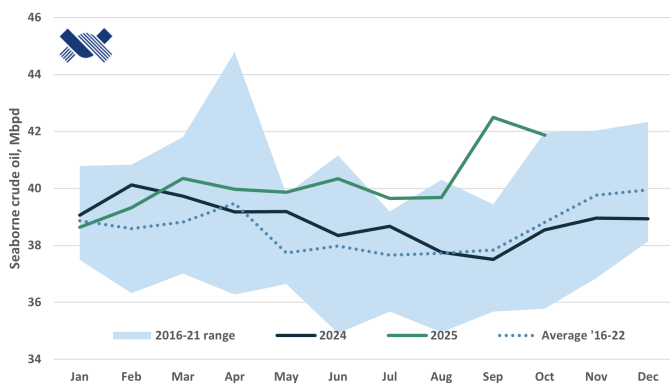
Compliant tonne miles, CPP/DPP (-2.2% YTD)



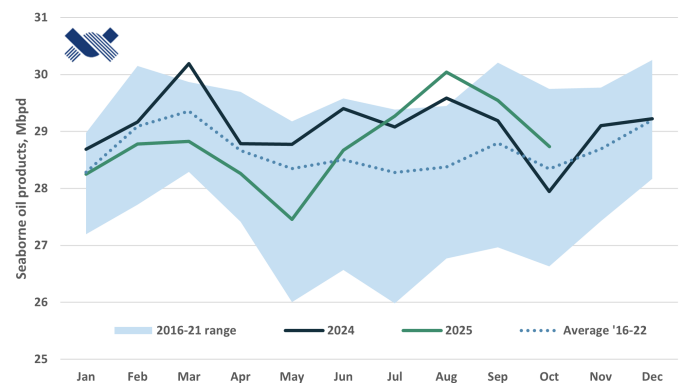
Source: Fearnleys, Vortexa

Loadings in October to date have eased slightly from the highs in September, but remain near all-time seasonal highs for crude tankers. Product flows have slid somewhat more on extended refinery maintenance and Russian outages.

Seaborne crude oil volumes, ex. Iran and Venezuela



Seaborne products volumes, ex. Iran and Venezuela



Source: Vortexa

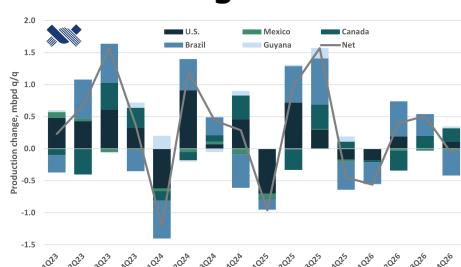
In coming months there may be slight downside to seaborne flows. One thing is refineries coming back out of maintenance, which could give some less crude oil export potential from the likes of the U.S. Another is that the biggest growth engine of global supply over the last years, the Americas, may see some downside. The EIA expects a 450 kbpd

Q/Q decline in Q4 vs. Q3 2025 production (mainly in Brazil), and another 560 kbpd quarterly drop (mainly Canada and partly U.S.) in the first quarter of next year. The latter may be offset by refinery maintenance and higher seasonal U.S. exports, and hinges on the EIA being right that U.S. crude production will decline by about 100 kbpd per quarter after year-end.

The OPEC+ may offset some of the downside, assuming that the group will continue its gradual monthly unwinds of production cuts. However, all producers but Saudi Arabia, Oman and Russia already exceed their production targets, and hence upside is somewhat limited vs. the headline numbers - especially as Russian output may come under some further pressure.

Both the EIA and IEA currently expect global oil supply growth of about 0.5 mbpd next year. If the OPEC+ fully unwinds the current tranche of cuts, that likely means another about 0.5 mbpd. Assuming all of that hits the water it means about 2% seaborne volume growth potential.

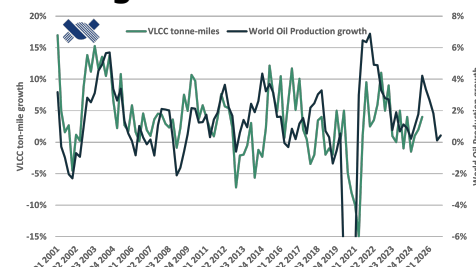
Americas quarterly oil production change



OPEC+ targets vs. production



Global oil supply vs. VLCC demand growth



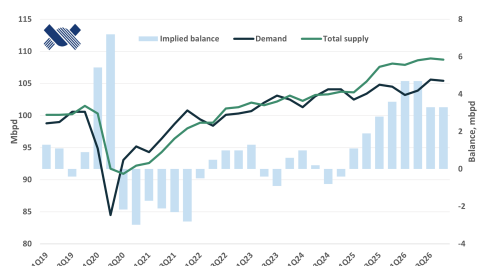
Source: EIA, IEA, OPEC, Fearnleys, Vortexa

Plenty of oil

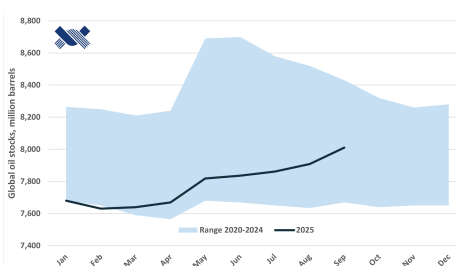
Not that more production is necessarily needed for the oil market balance near-term, as most expect a growing oversupply of oil going forward. The IEA's oversupply estimates are likely vastly exaggerated, but some more build-up in the coming few quarters is likely as global oil supply in Q4 is estimated to be 2-3 mbpd higher than in Q2, depending on which energy agency you look at. Demand is likely higher than the IEA estimates, but not by that much, hence some bigger inventory builds are likely.

YTD through the first three quarters global inventories have built by 1.3 mbpd, far less than the IEA's implied balance of nearly 2 mbpd. Most of that build has been in non-OECD, but OECD inventories have also built by nearly 0.4 mbpd. Hence, unless oil demand or supply dramatically surprise there could be further pressure on oil prices and in turn production going forward - although that is partly baked into energy agency forecasts.

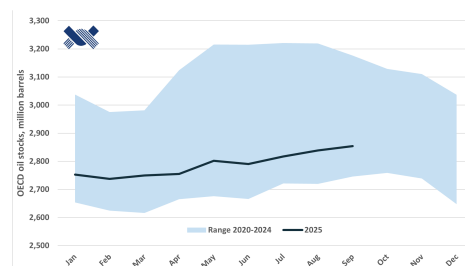
IEA Oil market balance



Global oil stocks



OECD oil stocks

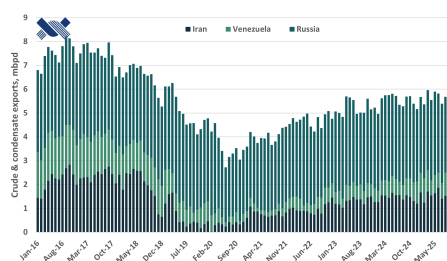


Source: IEA

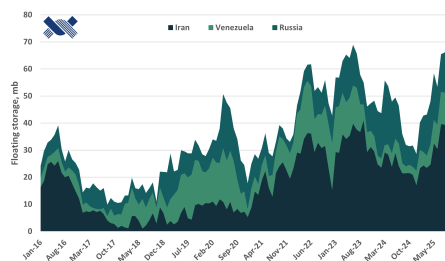
A part of what has been driving the oversupply is sanctioned flows. YTD these are on average about 250 kbpd higher than last year (when they were also up 250 kbpd). Over the last two months, however, exports are 700 kbpd higher y/y. Due to a combination of sanctions/inefficiencies and exhausted crude import quotas for independent Chinese refiners, a lot of this has ended up as oil in transit - explaining most of the surge in this figure which has been widely reported by media the last few weeks. These are in other words (delayed) floating inventories waiting to discharge.

Assuming Russian exports will not be greatly affected by Trump's latest sanctions, buyers of sanctioned flows may not be in great rush to replace, although there has been some initial scrambling. The wording in the sanctions on Rosneft and Lukoil provide flexibility with regards to enforcement - possibly in order to avoid too big a reaction in oil prices. There have already been reports of cargoes offered from other sellers than Rosneft and Lukoil and that the discount for Urals has widened by about \$5/bbl to lure Chinese and Indian buyers back in. With Murban and Dubai prices quickly giving up most of the premium gained after the sanctions, it would seem the 'market' is relatively undaunted. There are reports that Indian refiners now have big tenders for Atlantic crude, but at first glance these are not vastly higher than Indian imports from the basin has been in the past.

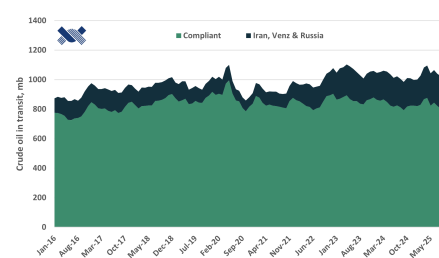
Iran, Venezuela and Russia crude oil exports



Iran, Venezuela and Russia floating storage



Crude oil on the water



Source: Vortexa

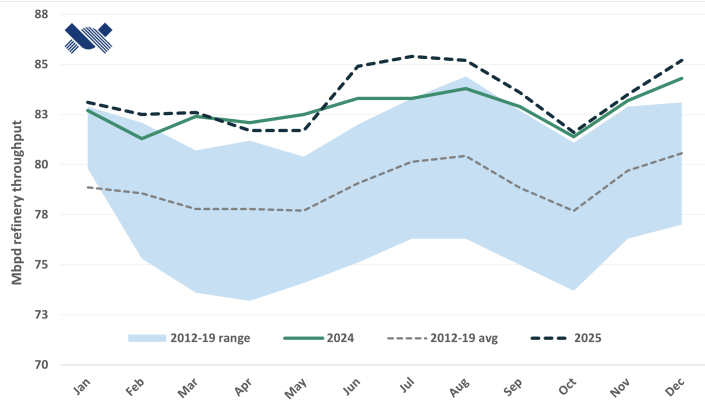
Refinery constraints

Refinery margins have generally been stronger than most expected this year, still runs are only estimated to be 0.6 mbpd higher vs. last year, and for next year the IEA forecasts less than 0.5 mbpd growth. This is more a function of limited spare capacity than economics, other than in areas where it is curbed (China) or incapacitated (Russia). There has also been unplanned outages and extensive maintenance contributing.

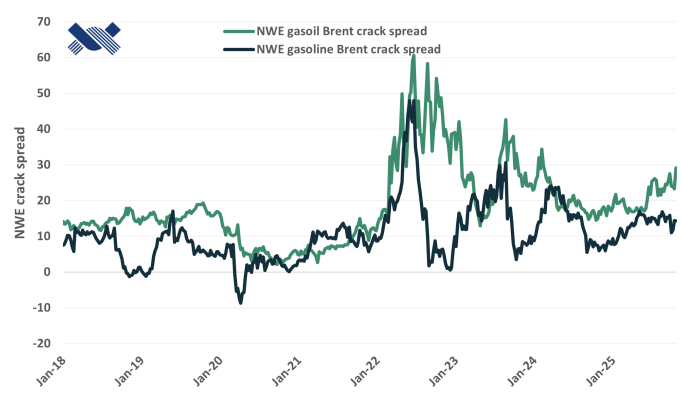
Crack spreads are currently the strongest for gasoil in Europe, propped up by the Russian outages, refinery shutdowns over time, a lighter crude slate and other outages. The latest hit to supply is the Al Zour fire - a key supplier of winter grade gasoil for Europe. This should be supportive of arbitrages into Europe, but has not really been. Gasoil has also been boosted globally by Russia supply related fears - to the point where MEG gasoil has been better priced into Asia than Europe, for instance. Similarly, U.S. gasoil has been better priced into South America than Europe - partly on very high freight. Jet, however, is somewhat better priced to move East-West (particularly USWC), although also works to Asia.

The normal TC2 gasoline arb. however, is negatively affected by (abnormally) low gasoline cracks in the U.S. which skews the Atlantic MR picture these days - although ever returning Dangote outages gives a home for European gasoline into West Africa.

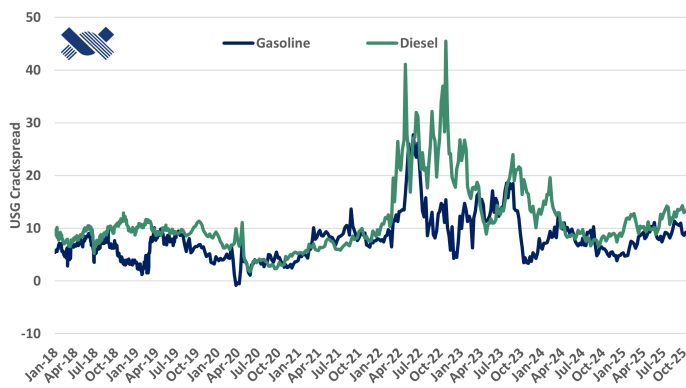
Global refinery run season



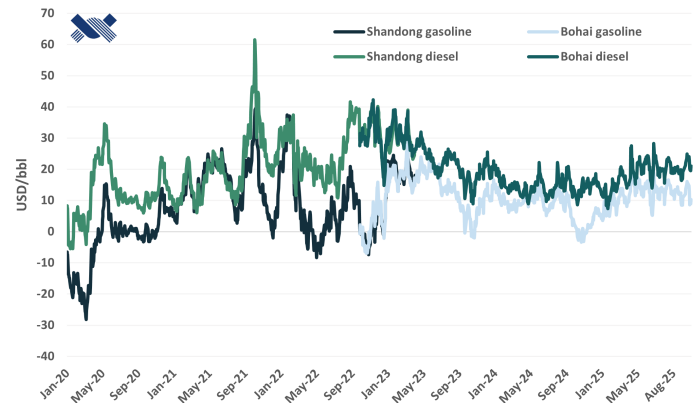
NorthWest Europe crack spreads



U.S. Gulf Coast crack spreads



China Bohai Bay crack spreads



Source: IEA, Bloomberg, EIA, Argus

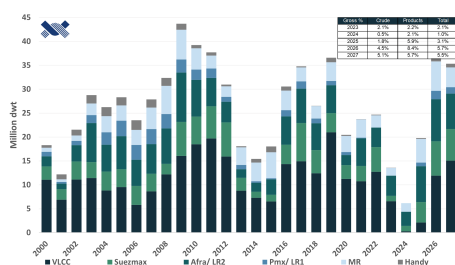
Plenty of ships, for a while

Fleet growth YTD through the beginning of October had been 1.7%, with another 1% scheduled to be delivered through year-end. The orderbook to fleet ratio has crept up to 15%, which is not scary in a historical context, especially considering that 15.5% of the fleet is already 20+ years old.

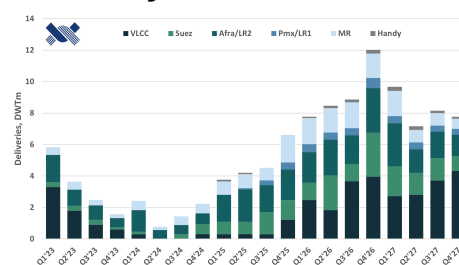
Some more (old) vessels have been sold at suspiciously strong prices to undisclosed or questionable buyers, suggesting that they have or probably will leave the compliant market. Hence, effective fleet growth for the compliant market is probably closer to zero YTD.

The next couple of years, however, fleet growth may pick up to closer to 5%, depending on phase-out.

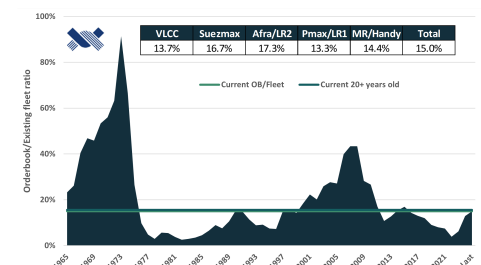
Annual deliveries, +25k dwt



Quarterly deliveries, +25k dwt



Orderbook to fleet ratio

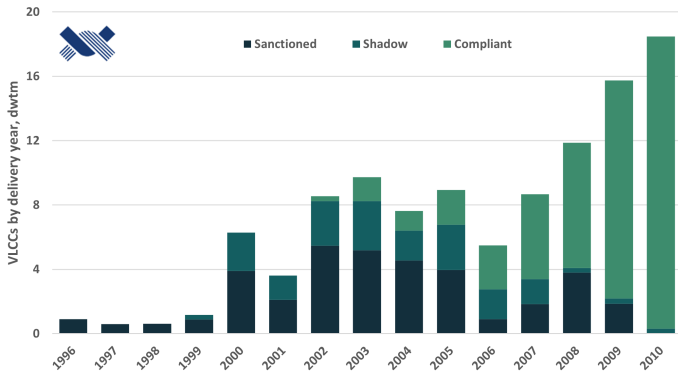


Source: Fearnleys

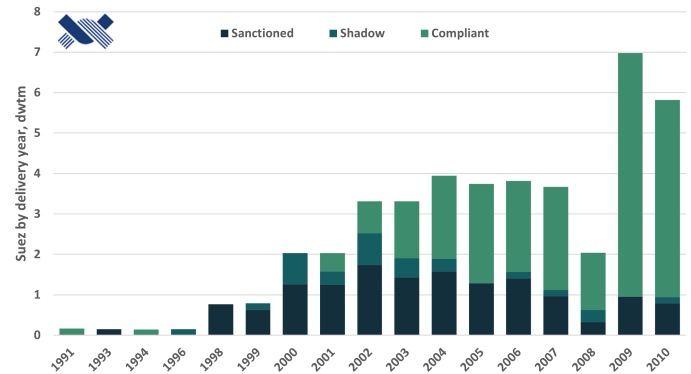
What would normally be phase-out candidates have in recent years ventured into the shadow markets, and hence are already phased out of the compliant market. Some more older vessels might follow in coming years, depending on sanctions enforcement. Still, this also means that it is not until 2028-30 that the next 'wave' of phase-out candidates will reach normal phase-out age, so unless rates plunge it is unlikely that scrapping will pick up meaningfully near-term.

- 100% of VLCCs built 2000 or earlier are sanctioned/shadow. As are 87% of '01-05, and 21% of '06-10 built.
- 93% of Suezmaxes built 2000 or earlier are sanctioned/shadow. As are 56% of '01-05, and 23% of '06-10 built.
- 66% of Aframax/LR2 built 2000 or earlier are sanctioned/shadow. As are 68% of '01-05, and 44% of '06-10 built.
- 32% of MRs built 2000 or earlier are sanctioned/shadow. As are 32% of '01-05, and 7% of '06-10 built.

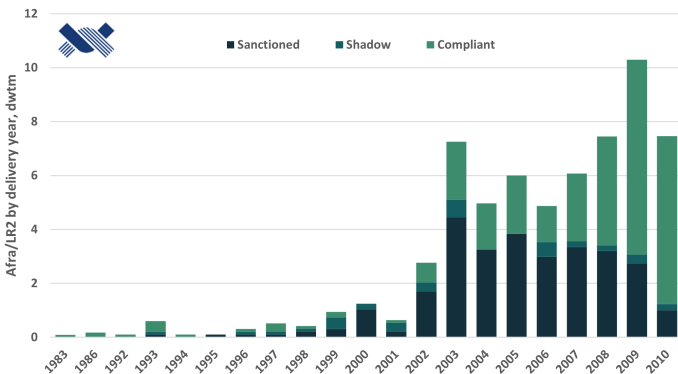
Pre-2010 built VLCC fleet composition



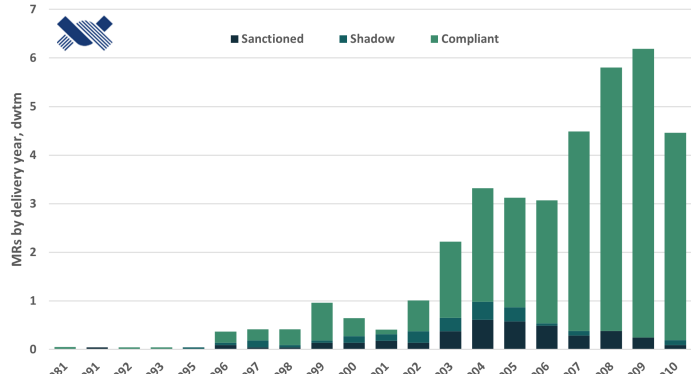
Pre-2010 built Suezmax fleet composition



Pre-2010 built Aframax/LR2 fleet composition



Pre-2010 built MR fleet composition



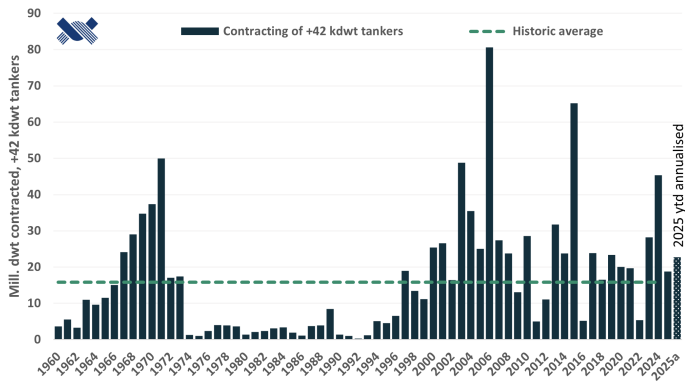
Source: Fearnleys, Vortexa, OFAC, EU, UK

Ordering has continued, with nearly 19m dwt ordered YTD, and some more to come with a few reported orders in recent weeks. 15% of the YTD reported orders are scheduled for delivery next year, 46% in 2027 and 28% in 2028. The YTD tally is thus already higher than the historical average of 15.8m dwt, but just about half of last year's.

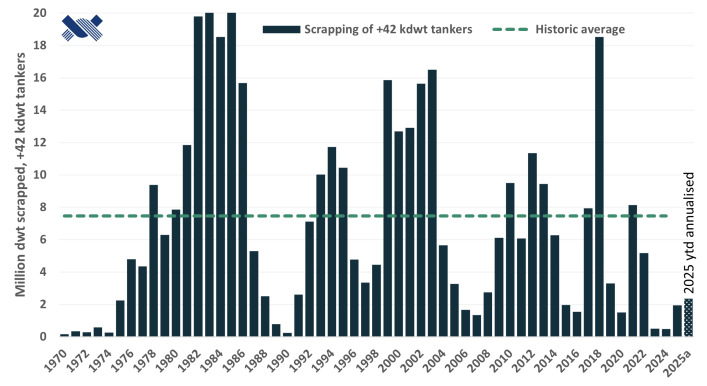
Demolition remains low, as the 1.9m dwt YTD is still far below the historical average of 7.5m dwt, albeit much higher than the last two years. The 24 tankers demolished YTD were on average 25 years old.



Annual tanker orders, +42k dwt



Annual tanker demolition, +42k dwt



Source: Fearnleys



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